

investing worldwide. Niederhoffer was not only an expert, he was an expert's expert.

And so, in 1997, as a widely respected expert in financial markets, Niederhoffer may have been surprised when he experienced steep losses on a Thai currency bet. But Niederhoffer had experienced volatility before; he just needed to apply his prodigious investing skill and pull yet another rabbit out of a hat. While Niederhoffer had fallen behind during early 1997, his real problems began when he chose a risky strategy to recover from those losses: He began selling out-of-the-money puts on the S&P 500.²

Selling out-of-the-money puts has been likened to picking up nickels in front of a steamroller. You get a little bit of money (the nickel) for the contract, but you agree to purchase a stock at a future price (the steamroller). Everything works so long as the steam roller doesn't accelerate. However, should our steam roller operator drop his sandwich and inadvertently step on the gas (decrease the stock price), you could find yourself in a pressing situation...

This pressing situation can become downright perilous when market prices approach or fall below the put strike price. If you promise to buy a stock for \$10 and its price on the open market is \$5, you can be sure that your creditors will come to collect. And if you can't honor your promise to fulfill the contract, well, that's when you need to worry about the steamroller.

In late October, Niederhoffer's out-of-the-money November puts were trading at \$0.60, but the Asian financial crisis continued to unfold and began to rattle US markets. The value of his puts quadrupled to \$2.40, although they were still over 15 percent out of the money. Niederhoffer was confident, stayed the course, and left his position intact (he had come back from worse than this).

The following week, the S&P plunged by 7 percent, and the implied volatility of the puts skyrocketed. The puts were both closer to being “in the money” *and* had more implied volatility (the market believed the chance of them ending in the money was greater). Each of these effects made them more expensive. With this put valuation double-whammy, the value of Niederhoffer's puts exploded, which was very bad, since Niederhoffer had sold them. In just over a week's time, Niederhoffer's short position had moved against him by a factor of 25 times or more. This extreme move